



Offered APR Composition

$$\text{APR}^{\text{offer}} = \text{APR}_{\text{financier}}^{\text{base}} + \text{RiskPremium}_{\text{borrower}}$$



Financier-side APR Strategy

Selects the base APR

Strategies tried

RL APR; fixed 6%; fixed 8%; fixed 10%

Optimisation

RL : $\alpha_{\text{APR}}, \gamma_{\text{APR}}, \epsilon_{\text{APR}}$, APR grid size

Selected output

$\text{APR}_{\text{financier}}^{\text{base}}$



Borrower-side Screening Strategy

Selects the risk premium

Strategies tried

No screening; borrower RL; borrower EGT

Optimisation

EGT: α, η ;
RL: $\alpha_B, \gamma_B, \epsilon_B$, premium grid

Selected output

$\text{RiskPremium}_{\text{borrower}} \in [-2, 16]$



Final APR Offer

$$\text{APR}^{\text{offer}} = \text{clip}(\text{APR}_{\text{financier}}^{\text{base}} + \text{RiskPremium}_{\text{borrower}}, 6, 36)$$